Type MS · Promotion methods: above and below the line

Answer 1 of 22 · Question 1 part f · 3 marks

2021 NOV · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **A –** It is a more up to date method of research B – is incorrect as it is very time-consuming C – is incorrect as it is more expensive D – is incorrect as it is carried out by a variety of people not just agencies	**(1)**

Question Number	Which **one** of the following is a financial objective? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **B –** Market share A – is incorrect as personal satisfaction is not financial C – is incorrect as independence is not financial D – is incorrect as control is not financial	**(1)**

Question Number	Which **one** of the following is the total revenue for a day? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** – £2 400 A – is incorrect as £600 is the fixed cost B – is incorrect as £1 800 is £600 x £3.00 D – is incorrect as £600 x £12.00	**(1)**

4BS1 02 November 2021

Type MS · Promotion methods: above and below the line

Answer 1 of 22 · Question 1 part f · 3 marks

2021 NOV · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Which **one** of the following would be a disadvantage for a partner in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **B –** Liability for all debts A – is incorrect as sharing the workload is a benefit C – is incorrect as access to more capital is a benefit D – is incorrect as sharing skills is a benefit	**(1)**

Question Number	What would be the brand value in 2019? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** $8.66 billion A – is incorrect as 6.20 is 14/10 = 1.4 7.6 – 1.4 = 6.2 B – is incorrect as 7.74 is 7.6 plus .14 D – is incorrect as 10.64 is 76 x .14	**(1)**

Question Number	Which **one** of the following is a source of long-term finance? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **D –** Bank loan A – is incorrect as an overdraft is short term finance B – is incorrect as sales revenue is funds made from sales C 0 is incorrect as a bank loan is not long term finance.	**(1)**

4BS1 02 November 2021

Type MS · Promotion methods: above and below the line

Answer 1 of 22 · Question 1 part f · 3 marks

2021 NOV · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Define the term **sole trader**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of sole trader. • A business owned exclusively by one person **(1)**	**(1)**

Question Number	Define the term **demographics**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of demographics. • A particular section of the population **(1)**	**(1)**

Question Number	State **one** reason why *Huawei* may use share capital as a source of finance. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using share capital in the context of the business. • *Huawei* does not have to pay the funds back it can use the money to pay the salaries of the smartphone designers **(1)** • *Huawei* can use the money raised as it wishes such as investing in new technology **(1)** **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to two decimal places, the operating profit margin for *Huawei*. **Answer**	**Additional guidance**	**Mark**

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Type MS · Promotion methods: above and below the line

Answer 1 of 22 · Question 1 part f · 3 marks

2021 NOV · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

1 (e)	**A02 - 2 marks** = 73 287 ÷ 721 202 x 100 **(1)** = 10.16 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage for a business of using **sponsorship**. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of a business of using sponsorship, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By sponsoring an event the business will gain publicity **(1)** the event could be local, national or global **(1)** this would mean the business would cover a wide spectrum of people **(1)** • By sponsoring an event brand awareness will be increased **(1)** this could encourage followers of the event to consider purchasing from the business **(1)** leading to increased revenue/profits **(1)** NB Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Promotion methods: above and below the line

Answer 1 of 22 · Question 1 part f · 3 marks

2021 NOV · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Question Number	Analyse the benefits of *Huawei* of locating its factories near to its labour sources. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By locating a factory in an area where there is a skilled labour force it could reduce training costs • *Huawei* may need certain skills to operate manufacturing machinery for its products e.g. smartphones **AO3** • The money saved could then be used for other purposes within *Huawei* • If those skills are available the factory may become more productive and efficient in manufacturing smartphones	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

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Type MS · Promotion methods: above and below the line

Answer 1 of 22 · Question 1 part f · 3 marks

2021 NOV · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage. **Answer**	Mark

Type MS · Promotion methods: above and below the line

Answer 2 of 22 · Question 1 part c · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B -** Overdraft	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **C –** Maturity	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **D -** Rent for *Lavender*'s businesses	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **A–** Health and safety	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** 11 250	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **D** - 8 514.00	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of short-term finance. Money borrowed that must be paid back within 12 months **(1).**	**(1)**

Type MS · Promotion methods: above and below the line

Answer 2 of 22 · Question 1 part c · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of above the line promotion. The use of mass media methods to promote to a large audience **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a correct reason why *Lavender* would recruit internally in the context of the business. • Employees will know how the different outlets operate such as *L.cafe* **(1).** • Employee will already have knowledge of the cakes made by the business **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 25 x 12 = 300 15/100 x 300 = 45 300 – 45 **(1).** = 255 **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Promotion methods: above and below the line

Answer 2 of 22 · Question 1 part c · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of an advantage, plus 2 further marks for explaining how this advantage will affect the business for a maximum of 3 marks. • The franchisee invests in a tried and tested business **(1)** and gets advice and training from the franchisor **(1)** this reduces the risk of failure **(1).** Answers that list more than one advantage with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 2 of 22 · Question 1 part c · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Satisfied customers are more likely to repeat purchase of cakes from *Lavender* bakery. • *Lavender* is expanding into different types of food outlets such as *L.bistro, L.cafe* and *L.table.* **AO3** • This leads to an increase in sales and customer loyalty so *Lavender* could end up spending less on promoting their products as satisfied customers will recommend other *Lavender* businesses to their friends and family through word of mouth. • Customer satisfaction in one outlet may lead to customers trying other outlets leading to improved revenues.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Promotion methods: above and below the line

Answer 2 of 22 · Question 1 part c · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Promotion methods: above and below the line

Answer 3 of 22 · Question 2 part d · 3 marks

2019 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for any valid piece of information in the context of the business. • Discount off any shoes for friends and family **(1).** • Allow employees to gain a qualification in customer service **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for any valid piece of information in the context of the business. • Gain more knowledge about shoes/accessories **(1).** • Receive training at a college on selling men and children's shoes **(1).** **Accept any other appropriate response.**	**(1)**

Type MS · Promotion methods: above and below the line

Answer 3 of 22 · Question 2 part d · 3 marks

2019 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**AO1 - 3 marks** Award 1 mark for identification of a reason for having a human resource functional area, plus 2 further marks for explaining this reason for a business, for a maximum of 3 marks. • A reason is to recruit employees **(1).** It will identify a vacancy in the business and seek to fill it **(1)** having found the right person for that role **(1).** Answers that list more than one reason with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**AO1 - 3 marks** Award 1 mark for identification of method, plus 2 further marks for explaining this method, for a maximum of 3 marks. • A business could use television advertising **(1).** This can be seen by large numbers of people raising awareness **(1)** resulting in an increase in sales for a business **(1).** Answers that list more than one method with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 3 of 22 · Question 2 part d · 3 marks

2019 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of one way the product life cycle can be extended, plus 2 further marks for explaining the way, for a maximum of 3 marks. • A business could change the packaging of its product **(1),** this could be done by brightening up old packaging or adding extras to the packaging **(1).** This could result in more repeat purchase as well as new custom **(1).** Answers that list more than one way with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 3 of 22 · Question 2 part d · 3 marks

2019 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 –*Backyard Shoez* could give bonuses for the person who has achieved the highest shoes sales within a month. • Option 2 – *Backyard Shoez* could use job enrichment to give their employees greater responsibilities within the shoe shop. **AO3** • Options 1 – The employees may be encouraged to work harder and compete against each other to gain the highest shoe sales for the bonus. • Option 2 – This will motivate employees as they can see they are being given the opportunity to use their abilities within the shoe shop as they are trusted by *Backyard Shoez.* **AO4** • Option 1 – However, if an employee cannot continually achieve the highest shoes sales then they may become demotivated and this could have the opposite effect. • Option 2 – However, some employees may resent not being chosen for job enrichment as therefore may become demotivated.	**(9)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Promotion methods: above and below the line

Answer 3 of 22 · Question 2 part d · 3 marks

2019 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Promotion methods: above and below the line

Answer 3 of 22 · Question 2 part d · 3 marks

2019 JUN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · Promotion methods: above and below the line

Answer 4 of 22 · Question 1 part f · 3 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D - Manufacture of finished goods** A is not correct because production does not provide services B is not correct because production is not the exchange of goods C is not correct because extraction of raw materials is not production	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **The only correct answer is B - The person is given support from an established business** A is not correct because a franchise cannot buy supplies from anyone C is not correct because a franchise is not guaranteed a set wage D is not correct because the profits are not shared in a franchise	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is D - 50.94%** A is not correct because 6.63% calculation incorrect B is not correct because 1 600 / 1 060 = 15.09 C is not correct because 1 600 – 1 060 = 0.52 / 1 600 = 33.75%	**(1)**

Type MS · Promotion methods: above and below the line

Answer 4 of 22 · Question 1 part f · 3 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is A - Higher loan repayments** B is not correct because a bank increasing the interest rates does not affect labour costs C is not correct because a bank increasing interest rates would possibly reduce net cash flow D is not correct because a bank increasing interest rates would possibly reduce sales	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **The only correct answer is B - It is funded by government** A is not correct because a public corporation is not owned by the directors C is not correct because a public corporation does not aim to maximise profit D is not correct because a public corporation is accountable to the public	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **The only correct answer is C - £980 000** A is not correct because - £40 000 is cash inflow minus outflow B is not correct because £40 000 is outflow minus inflow D is not correct because opening balance £1020 000 plus outflow £400000 minus inflow £360 000	**(1)**

Type MS · Promotion methods: above and below the line

Answer 4 of 22 · Question 1 part f · 3 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of commission. • Payment made to an employee linked to the number of sales made (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of revenue. • Money from the sale of goods/services (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason for having a short span of control in the context of the business. • This allows the directors of *HRMW* to communicate with all manufacturing departments such as boxing gloves and hockey sticks (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 92 322 – 85 083 = 7 239 (1) 7 239/85 038 = 8.51% (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Promotion methods: above and below the line

Answer 4 of 22 · Question 1 part f · 3 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a reason for sponsoring an event, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Sponsorship is making a financial contribution to an event (1). This makes more people aware of the business's products (1). This could, in turn, increase sales of those products (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It differentiates its football products from those of its competitors. • It helps customers to recognise its own logo that appears on all its products. **AO3** • Advertising the footballs is easier because customers are aware of the brand name and the quality of products. • Customers are more likely to buy a *HRMW* hockey stick, rather than an unbranded product, when they see the logo.	**(6)**

Type MS · Promotion methods: above and below the line

Answer 4 of 22 · Question 1 part f · 3 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Promotion methods: above and below the line

Answer 4 of 22 · Question 1 part f · 3 marks

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark

Type MS · Promotion methods: above and below the line

Answer 5 of 22 · Question 3 part b · 2 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of economies of scale. • When average costs fall as a result of a business increasing in size **(1)**	**(1)**

Question Number	Outline **one** reason why *NEXT* uses special offers. Answer	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why *NEXT* have special offers, plus 1 further mark for linking it to the context of the question. • *NEXT* have special offers to encourage customers to purchase clothes **(1).** Once they have purchased dresses using a special offer they may return to purchase others **(1)** NB Do not accept a reason that is not in the context of *NEXT*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the number of women working at *NEXT*. Answer	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 43,000 X 0.7 **(1)** = 30,100 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Promotion methods: above and below the line

Answer 5 of 22 · Question 3 part b · 2 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Analyse why *NEXT* would want to remove any communication barriers within its organisation. Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *NEXT* trades in different countries it will therefore need employees to speak the language of that country. • If *NEXT* has long chains of command it could mean that messages from head office take too long to reach shop assistants. **AO3** • By speaking the language of the customer the staff can communicate and make it easier to increase sales. • The communication could become unclear/inaccurate on its way through the chain of command leading to errors.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Promotion methods: above and below the line

Answer 5 of 22 · Question 3 part b · 2 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	**Option 1:** job rotation **Option 2:** job enrichment. (e) Justify which **one** of these two options *NEXT* should choose. Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By offering job rotation the employees may get to experience different jobs moving from the stock room to working on the shop floor • **Option 2** – With job enrichment *NEXT* employees may find they utilise their skills of displaying the furniture and child clothes in their shop windows **AO3** • **Option 1** – The employees may find the experience of moving from the stock room to the shop floor gives them additional skills and knowledge which can be used within *NEXT* • **Option 2** – The employees will be able to use the new skills of displaying products in applying for different jobs either within *NEXT* or at another business **AO4** • **Option 1** – However, these new experiences and skills may mean that employees could decide to look for other jobs other than remaining employed by *NEXT* • **Option 2** – However, this could incur additional costs for *NEXT* of time and training of the employees	**(9)**

Type MS · Promotion methods: above and below the line

Answer 5 of 22 · Question 3 part b · 2 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7-9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Promotion methods: above and below the line

Answer 5 of 22 · Question 3 part b · 2 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Calculate to two decimal places the operating profit margin for *NEXT* in 2019. Answer	Additional guidance	Mark

Type MS · Promotion methods: above and below the line

Answer 6 of 22 · Question 2 part d · 3 marks

2022 JUN · Paper 02 · extract 1 of 7 · find part d in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a financial objective in the context of the business. • *LEGO* wants to maintain its market share in the toy sector **(1)** • By achieving financial security, it allows *LEGO* to provide employment for its 18,000 employees **(1)** **NB** Do not accept if the objective is not in the context of *LEGO*. **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *LEGO* does not recruit casual employees. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *LEGO* do not employ casual employees in the context of the business. • Casual employees may not have the commitment to ensuring that the art materials they produce are of the high standard set by *LEGO* **(1)** • Casual employees may take longer to understand how the Harry Potter games are labelled and packed ready for despatch **(1)** **NB** Do not accept a reason that is not in the context of *LEGO*. **Accept any other appropriate response.**	**(1)**

Type MS · Promotion methods: above and below the line

Answer 6 of 22 · Question 2 part d · 3 marks

2022 JUN · Paper 02 · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why a business would pay its employees above the minimum wage. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark why a business would pay its employees above the minimum wage, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Paying above the minimum wage will encourage more employees to work at a business **(1)** as they could be paid more than at a competitor **(1)** and they are likely to stay with the business because of the payment they receive **(1)** • Employees will feel more rewarded because of the pay they receive **(1)** and this could increase their motivation at work **(1)** and also improve their productivity **(1)** NB No marks are awarded for a definition. Answers that list three reasons why a business would pay above minimum wage with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 6 of 22 · Question 2 part d · 3 marks

2022 JUN · Paper 02 · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why product trials are important to a business. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why product trials are important, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Gain customer feedback on a new product **(1)** identify strength/weaknesses/problems **(1)** which can then be addressed before the product enters the wider market **(1)** • By offering a customer a three month trial on electronic games **(1)** the customer can find out if they like the games **(1)** and if they do, they may a purchase the game console **(1)** NB No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Promotion methods: above and below the line

Answer 6 of 22 · Question 2 part d · 3 marks

2022 JUN · Paper 02 · extract 4 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why a business complies with health and safety legislation. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for identification why a business complies with health and safety legislation plus 2 further marks for explaining this reason, for a maximum of 3 marks. • If a business does not comply with the laws given by the country **(1)** they could be fined/sued if there was an accident or someone was injured **(1)** and the business could be fined/closed down for not complying with the legislation **(1)** • It ensures all staff are protected against injuries **(1)** meaning less days are lots to illness **(1)** and reducing the need to get in temporary cover saving costs **(1)** NB No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 6 of 22 · Question 2 part d · 3 marks

2022 JUN · Paper 02 · extract 5 of 7 · find part d in this mark scheme extract

Question Number	**Option 1:** cost plus **Option 2:** skimming. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1 –** This is easy to apply and *LEGO* will know that the cost of manufacturing the Princess Leia toy is covered when sold • **Option 2 -** This means that the new Princess Leia toy is sold at a high price when it is released **AO3** • **Option 1** – As each new toy is sold *LEGO* will know that it is making a profit on each sale • **Option 2** - As each toy is sold it will have a high profit margin, if only a few toys are sold the profits would still be high because they know that as Star Wars toys are popular and will sell **AO4** • **Option 1** - However, even though this pricing strategy guarantees a profit, there is no guarantee that the toys will be sold as customer may wait until the price falls • **Option 2** - However, this strategy might limit the number of potential customers wanting to buy the product as the price is too high.	**(9)**

Type MS · Promotion methods: above and below the line

Answer 6 of 22 · Question 2 part d · 3 marks

2022 JUN · Paper 02 · extract 6 of 7 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Promotion methods: above and below the line

Answer 6 of 22 · Question 2 part d · 3 marks

2022 JUN · Paper 02 · extract 7 of 7 · find part d in this mark scheme extract

Question Number	Define the term **delegation**. **Answer**	Mark

Type MS · Promotion methods: above and below the line

Answer 7 of 22 · Question 2 part d · 3 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for the identification of a valid method *AWG* could use to motivate its employees • The business could use job rotation so employees make not only jumpers but shirts as well **(1)** **NB** Do not accept a method that is not in the context of *AWG* **Accept any appropriate response.**	**(1)**

Question Number	State **one** task of an *AWG* employee working in the human resources department. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for the identification of a valid task of an *AWG* employee working in the human resources department • *The AWG* employee working in the human resources department may be responsible for arranging the training of new employees to use the sewing machines **(1)** **NB** Do not accept a task that is not in the context of *AWG* **Accept any appropriate response.**	**(1)**

Type MS · Promotion methods: above and below the line

Answer 7 of 22 · Question 2 part d · 3 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** benefit of globalisation to a small business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit of globalisation to a small business, plus 2 further marks for explaining this benefit, for a maximum of 3 marks. • A small business can reach a larger audience of customers **(1)** because it can sell its products into new countries **(1)** leading to increased revenue and profitability for the business **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Question Number	Explain **one** method of below-the-line promotion a business may use to retain its customers. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a method of below-the-line promotion a business could use, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Existing customers may be offered sales promotions/discounts **(1)** with the aim of enticing customers to buy at a lower price **(1)** and therefore encourage repeat sales by its customers **(1)** **NB** Answers that list three methods with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 7 of 22 · Question 2 part d · 3 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** benefit to a business of using market segmentation to target its customers. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit to a business of using market segmentation to target its customers, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • To identify customers with similar characteristics **(1)** in order to develop a product or service which meets those customers' needs **(1)** leading to an increase in sales and consumer loyalty **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 7 of 22 · Question 2 part d · 3 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	It is considering two options: **Option 1:** use venture capital to open new stores **Option 2:** start offering franchises. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – A venture capitalist may provide the funds to build the new stores to sell the jumpers • **Option 2** – A franchisee will pay *AWG* a fee for the right to sell its baby clothes **AO3** • **Option 1** – As well as providing the funds the venture capitalist may also have knowledge of the needs of Icelandic customers • **Option 2** – This method would allow *AWG* to increase its revenue from fees paid by the franchisee **AO4** • **Option 1** – However, the venture capitalist may want to take some control of the business and interfere with the decision making and objectives of the business • **Option 2** – However, *AWG* are reliant on the franchisee running the business well and not causing bad publicity for *AWG* which might impact its brands reputation	**(9)**

Type MS · Promotion methods: above and below the line

Answer 7 of 22 · Question 2 part d · 3 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Promotion methods: above and below the line

Answer 7 of 22 · Question 2 part d · 3 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Define the term **job production.** **Answer**	Mark

Type MS · Promotion methods: above and below the line

Answer 8 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 01 · extract 1 of 7 · find part d in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a reason why branding is important to *Saha* in the context of the business. • The name/logo of the business should be recognisable to hotels and restaurants **(1)** • to distinguish *Saha*'s robots from those of competitors such as Xio **(1)** • To build relationships and customer loyalty with customers who buy for the hospitals **(1)** **NB** Do not accept a reason that is not in the context of *Saha* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** task that an employee working in the production department at *Saha* might do. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid task that an employee in the production department might do, in the context of the business. • The employee may work on the production line fitting batteries to the robots **(1)** • The employee may be responsible for the final quality testing of each robot before they are delivered to restaurants **(1)** **NB** Do not accept a task that is not in the context of *Saha* **Accept any other appropriate response.**	**(1)**

Type MS · Promotion methods: above and below the line

Answer 8 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 01 · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** disadvantage for a business of using flow production to produce its goods. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for one disadvantage to a business of using flow production, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • The employees may get bored on the production line **(1)** as job roles are likely to be monotonous **(1)** leading to poorly motivated employees/high labour turnover **(1)** • The production facility may be inflexible **(1)** as the goods produced are standardised/similar **(1)** which may prevent the business from tailoring its products to individual tastes of its customers **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages of a business using flow production with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 8 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 01 · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** method of above the line promotion a business may use to increase its sales revenue. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for an above the line promotion method a business might use to increase its sales revenue, plus 2 further marks for explaining this method, for a maximum of 3 marks. • A business may use television advertising **(1)** as this form of advertising may be viewed by a wide audience **(1)** leading to increased awareness of the product **(1)** • A business could use billboards **(1)** which can be seen by many people as they drive in their cars or walk in busy areas **(1)** leading to increased brand recognition of the products **(1)** **NB** No marks are awarded for a definition. Answers that list three above the line promotion methods a business might use to sell more products, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 8 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 01 · extract 4 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why the proximity to materials is important to a business when locating to a new factory. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why proximity of material is important to a business when locating to a new factory, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Locating close to materials may reduce delivery costs **(1)** as the material only has to travel a short distance to the new factory **(1)** which reduces total cost/increases the profitability of the business **(1)** • Access to materials which are close to the new factory may save time **(1)** because if the business runs out of inventory **(1)** it could be delivered quickly and prevent delays in production **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why proximity of material is important, with no explanation will get a maximum of 1 mark **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 8 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 01 · extract 5 of 7 · find part d in this mark scheme extract

Question Number	When *Saha* expands its business it will require additional finance. It is considering two options: **Option 1:** crowdfunding **Option 2:** loan capital Justify which **one** of these two options *Saha* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – *Saha* may appeal to the public for funding to expand its sale of robots into all continents of the world • **Option 2** – *Saha* could use a loan to build new factories to manufacture the new robots for homes **AO3** • **Option 1** – Investors may be willing to contribute small amounts to the expansion which do not have to be repaid/does not increase the debt of *Saha* • **Option 2** – It is possible that a loan for a large amount of money can be received from the bank quickly to enable *Saha* to pursue its expansion programme **AO4** • **Option 1** – However, there is no guarantee that sufficient funds would be raised through crowdfunding to allow *Saha* to pursue its ambitious expansion plans • **Option 2** – However, the loan will incur interest rates that have to be paid in addition to the loan amount which will increase costs/reduce profitability	**(9)**

Type MS · Promotion methods: above and below the line

Answer 8 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 01 · extract 6 of 7 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Promotion methods: above and below the line

Answer 8 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 01 · extract 7 of 7 · find part d in this mark scheme extract

Question Number	Define the term **legislation.** **Answer**	Mark

Type MS · Promotion methods: above and below the line

Answer 9 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 02 · extract 1 of 7 · find part d in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid activity carried by the marketing functional area at *Premier Inn* in the context of the business. • To decide the prices of the hotel rooms so that visitors would consider staying at the hotel **(1)** • To advertise the hotels to encourage visitors to book rooms at *Premier Inn* hotels **(1)** **NB** Do not accept an activity that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *Premier Inn* uses seasonal employees. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *Premier Inn* uses seasonal employees in the context of the business. • Enables the hotel to continue working when there is an increase in demand for rooms during the summer holidays **(1)** • Students with their long holidays can be employed as full-time employees, such as waiters and housemaids **(1)** **NB** Do not accept a reason that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Type MS · Promotion methods: above and below the line

Answer 9 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 02 · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why a business would use robotics in its production. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for a reason why a business would use robotics in its production, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Using robots in the production process reduces production errors **(1)** as robots can be programmed to do the same thing time after time **(1)** products can be made with greater consistency/higher quality **(1)** • Using robotics in the production process increases the number of goods produced **(1)** reducing the cost of production **(1)** leading to the possibility of greater profits **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why a business would use robotics in its production, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 9 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 02 · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why a business might use sponsorship. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why business might use sponsorship, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • If a business sponsored an event the business would gain publicity **(1)** this would mean the business would raise awareness in a wide range of people **(1)** which may attract new customers **(1)** • The business would gain brand awareness from any sponsorship **(1)** this could encourage followers of the event to consider purchasing from the business **(1)** leading to increased revenue/profits **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why a business might use sponsorship to promote itself, with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Promotion methods: above and below the line

Answer 9 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 02 · extract 4 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** advantage for a country of being in a trading bloc. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for an advantage for a country being in a trading bloc, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Businesses within a country can trade with no tariff barriers **(1)** This means that there will be no additional costs involved **(1)** therefore prices could be lower **(1)** • It gives a wider choice of goods for consumers **(1)** as the goods move freely with no trade restrictions **(1)** from one country to another country **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages why a business is in a trading bloc, with no explanation will get a maximum of 1 mark **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 9 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 02 · extract 5 of 7 · find part d in this mark scheme extract

Question Number	**Option 1:** competition pricing **Option 2:** promotional pricing. Justify which **one** of these two options *Premier Inn* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – *Premier Inn* will match the price of competitors for its rooms • **Option 2** – *Premier Inn* could offer a discount on the price of a 3-night stay at the hotel **AO3** • **Option 1** – Customers could be tempted to book with *Premier Inn* because the price is similar or slightly lower than its competitors • **Option 2** – The lower price could mean that they get more bookings which means revenue for the business **AO4** • **Option 1** – However, there is no guarantee that customers will book with *Premier Inn* as they may prefer the facilities at another hotel • **Option 2** – However, even though the bookings may be higher there is no guarantee that the profit will be same or higher	**(9)**

Type MS · Promotion methods: above and below the line

Answer 9 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 02 · extract 6 of 7 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Promotion methods: above and below the line

Answer 9 of 22 · Question 2 part d · 3 marks

2024 NOV · Paper 02 · extract 7 of 7 · find part d in this mark scheme extract

Question Number	Define the term **net cash flow.** **Answer**	Mark

Type MS · Promotion methods: above and below the line

Answer 10 of 22 · Question 3 part b · 2 marks

2025 NOV · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **span of control.** • The number of workers/subordinates a person is directly responsible for/directly controls **(1)**	**(1)**

Question Number	Outline **one** way *Ocean Vibes* may promote its business. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award up to 2 marks for linked points outlining one way *Ocean Vibes* may promote its business. Award a maximum of 1 mark if points are not linked. • *Ocean Vibes* could use a poster **(1)** to encourage visitors to book boat tours **(1)** • *Ocean Vibes* could use social media **(1)** to help reach a wider audience of potential tourists **(1)** **NB** To award 2 marks there must be linked points **and** evidence of application. **Accept any other appropriate response.**	**(2)**

Type MS · Promotion methods: above and below the line

Answer 10 of 22 · Question 3 part b · 2 marks

2025 NOV · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Calculate the return on capital employed (ROCE). You are advised to show your working. **Answer**	Mark
3 (c)	**A02 - 2 marks** Award 2 marks for the correct answer: 75% **(2)** OR Award 1 mark for working 60 000 / 80 000 x 100 **(1)**	**(2)**

Question Number	Analyse the advantages to *Ocean Vibes* of using on-the-job training for new workers. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The new tour guides can learn from existing tours guides on the boats on how to provide its customers with an enjoyable boat tour • It will be less expensive for *Ocean Vibes* if the tour guides learn how to gather research on the wildlife from the existing guides rather than learning from an external business **AO3** • This may lead to *Ocean Vibes* meeting the specific needs of its customers to provide excellent customer service • This will reduce training costs for *Ocean Vibes* and help improve its profitability	**(6)**

Type MS · Promotion methods: above and below the line

Answer 10 of 22 · Question 3 part b · 2 marks

2025 NOV · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Promotion methods: above and below the line

Answer 10 of 22 · Question 3 part b · 2 marks

2025 NOV · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	**Option 1:** Employ part-time tour guides instead of full-time tour guides **Option 2:** Reduce the rate of commission paid to its sales team. Justify which **one** of these two options *Ocean Vibes* should choose to increase its profit. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – *Ocean Vibes* will be able to reduce the wages of the wildlife tour guides • **Option 2** – Reducing commission from 5% lowers the total variable costs of the boat tours **AO3** • **Option 1** – This will reduce the fixed costs for *Ocean Vibes* as they will be paying less in salaries for its tour guides and therefore increasing profit • **Option 2** – Assuming the sales team sell the same number of tours, this will increase the profit as cost of sales will be reduced **AO4** • **Option 1** – However, it is possible that part-time employees are less committed to the business if they prefer full time work, which may lead to tour guides leaving *Ocean Vibes* for alternative employment • **Option 2** – However, the sales team may be less motivated to work which may lead to a reduction in the revenue and the profitability of boat tours for *Ocean Vibes*	**(9)**

Type MS · Promotion methods: above and below the line

Answer 10 of 22 · Question 3 part b · 2 marks

2025 NOV · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Promotion methods: above and below the line

Answer 10 of 22 · Question 3 part b · 2 marks

2025 NOV · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the new monthly minimum wage after an increase of 3.6%. You are advised to show your working. **Answer**	Mark

Type MS · Promotion methods: above and below the line

Answer 11 of 22 · Question 4 part b · 6 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

4 (a)	**AO2 = 2 marks** 7.70 x 0.025 = 0.1925 (1) 0.1925 + 7.70 = 7.89 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Promotion methods: above and below the line

Answer 11 of 22 · Question 4 part b · 6 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **A02** • *TADS* could use sales promotions such as coupons in the local newspaper that Ollie writes a column for. • *TADS* could go to music festivals to showcase the skills of its students. **A03** • Coupons in the newspaper may lead to local readers using them thus increasing the number of students. • By doing this spectators will see the skills that have been taught and be encouraged to learn to play a new musical instrument.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Promotion methods: above and below the line

Answer 11 of 22 · Question 4 part b · 6 marks

2020 NOV · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **A01** • A private limited company is a suitable type of ownership for small and medium-sized businesses. • In a private limited company, the shareholders can only lose the money they invest. **A02** • As a one-man business becoming a private limited company means Ollie could raise more funds from family and friends. • *TADS* will have a separate legal identity meaning the business could carry on if anything happened to Ollie. **A03** • If *TADS* opts for a private limited company then Ollie can control who the other owners will be allowing him to choose people who have an interest in music and can invest in the business. • Having Ltd status means that Ollie's personal possessions are protected as are those of his shareholders. The benefit of this is that the risk for shareholders is reduced. **A04** • However, Ollie may not get a lot of interest so cannot raise large amounts of money and this can slow down his expansion plans. He may find it easier to opt for another source of finance such as a bank loan rather than change the legal ownership of the business, so he does not lose any control of the business. • However, becoming a Ltd will involve an increase in paperwork and some information will have to be shared publicly and this could be of some interest to Ollie's competitors.	**(12)**

Type MS · Promotion methods: above and below the line

Answer 11 of 22 · Question 4 part b · 6 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5–8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9–12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Promotion methods: above and below the line

Answer 11 of 22 · Question 4 part b · 6 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · Promotion methods: above and below the line

Answer 12 of 22 · Question 2 part f · 9 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part f in this mark scheme extract

2 (a)	**A02 = 1 mark** Award 1 mark for a valid primary research method in the context of the business. • Questionnaire for each person taking part in a cookery class (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 = 1 mark** Award 1 mark for a valid drawback of poor customer service in the context of the business. • Damage to *Loaf*'s brand leading to less people joining the cookery classes/buying bakery products (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (c)	**A01 = 3 marks** Award 1 mark for identification of a benefit to a business of using e-newsletters, plus 2 further marks for explaining this benefit for a business, for a maximum of 3 marks. • It can target its existing customers (1). This allows it to introduce new products (1) and this can encourage more sales (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 12 of 22 · Question 2 part f · 9 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
2 (d)	**A01 = 3 marks** Award 1 mark for identification of a responsibility of the human resources function, plus 2 further marks for explaining this responsibility, for a maximum of 3 marks. • A responsibility is recruitment (1) whereby the human resources function creates recruitment documents and carries out interviews (1) allowing the business to hire the right person for the job (1). **NB** Answers that list three responsibilities with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (e)	**A01 = 3 marks** Award 1 mark for the identification of a way in which the JIT (just in time) method of stock control might benefit a business, plus 2 further marks for explaining that way, for a maximum of 3 marks. • JIT stock control method could reduce the space needed to hold buffer stock (1) leading to a reduction in storage costs (1) and allow the business to have stock as and when needed (1). NB Answers that list three ways with no explanation of how the JIT method of stock control might benefit a business will get a maximum of 1 mark. No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 12 of 22 · Question 2 part f · 9 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – By offering food to passing trade they could entice them into the bakery. • Option 2 – The charity shops that *Loaf* works with could display the posters for free. **AO3** • Option 1 – They could use this as an opportunity to talk to people about what they do and how they help the local community therefore encouraging them to buy from the bakery or sign up for a cooking class. • Option 2 – It can be considered long-term, as posters stay up for some time and people visiting the charity shops may be enticed into visiting *Loaf,* which is nearby. **AO4** • Option 1 – However, by having someone outside giving out the samples means that the person is not working in the bakery selling goods, which could be considered a waste of time, and they are also giving out free food, which can be expensive. • Option 2 – However, it is a cheaper method of advertising but may not bring in the clientele that *Loaf* would want to purchase its goods.	**(9)**

Type MS · Promotion methods: above and below the line

Answer 12 of 22 · Question 2 part f · 9 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Promotion methods: above and below the line

Answer 12 of 22 · Question 2 part f · 9 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark

Type MS · Promotion methods: above and below the line

Answer 13 of 22 · Question 3 part e · 9 marks

2020 NOV · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

3 (a)	**A01 = 1 mark** Award 1 mark for a correct definition of hierarchical structure. • A structure with many levels (1).	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 = 2 marks** Award 1 mark for identifying a reason why *Emirates* would have short chains of command, plus 1 further mark for linking it to the context of the question. • Communication between *Emirates'* employees involved in recycling would be quicker, and therefore, more accurate (1). Communication between these employees will only pass through a few levels before reaching the intended employee (1). **NB** Do not accept a reason that is not in the context of *Emirates.* **Accept any other appropriate response.**	**(2)**

Type MS · Promotion methods: above and below the line

Answer 13 of 22 · Question 3 part e · 9 marks

2020 NOV · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 = 2 marks** 13,457,776/100 x 12.5 = 1,682,222 (1) 13,457,776 – 1,682,222 = 11,775,554 (1) **OR** 13,457,776 x 0.125 = 1,682,222 (1) 13,457,776 – 1,682,222 = 11,775,554 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *Emirates* recycles all waste from its aircraft this is a good marketing technique. • *Emirates* wants to maintain its reputation as a business that cares about the environment and does this by reducing its fuel consumption. **AO3** • *Emirates* has a good record of recycling, which may prove attractive to people who care for the environment. They are more likely to use *Emirates* because of its environmental policies. • Although *Emirates* pollutes the environment by using fuel, it is now reducing that use and, therefore, has become less polluting.	**(6)**

Type MS · Promotion methods: above and below the line

Answer 13 of 22 · Question 3 part e · 9 marks

2020 NOV · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Promotion methods: above and below the line

Answer 13 of 22 · Question 3 part e · 9 marks

2020 NOV · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – Increasing special offers encourages more passengers to fly with *Emirates*. • Option 2 – Many passengers will use social media and, therefore, it is a good way to advertise to a large number of potential passengers. **AO3** • Option 1 – This improves sales for *Emirates,* which helps it towards regaining its prime position against its competitors. • Option 2 – It is a quicker, more up-to-date and less expensive way to get information out to passengers and potential passengers. **AO4** • Option 1 – Although special offers help, it is the service and the way passengers are treated that improves the airline's status. • Option 2 – However, there is no control over social media and what is being said about *Emirates* by the users of social media.	**(9)**

Type MS · Promotion methods: above and below the line

Answer 13 of 22 · Question 3 part e · 9 marks

2020 NOV · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Promotion methods: above and below the line

Answer 13 of 22 · Question 3 part e · 9 marks

2020 NOV · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Promotion methods: above and below the line

Answer 14 of 22 · Question 2 part f · 9 marks

2021 JUN · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason for *NEXT* promoting its own employees in the context of the business. • If *NEXT* promotes its own employees, they are experts in the home interiors *NEXT* sell **(1)** • By promoting their own employees *NEXT* does not have to spend time and money interviewing and training new staff to sell its new dresses **(1)** **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *NEXT* complies with health and safety laws. Answer	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason for *NEXT* complying with health and safety laws in the context of the business. • *NEXT* will want to protect employees/customers whilst they are in its clothing stores **(1)** • By complying it is not breaking any laws and employees feel safe whilst working in its garment factories **(1)** **Accept any other appropriate response.**	**(1)**

Type MS · Promotion methods: above and below the line

Answer 14 of 22 · Question 2 part f · 9 marks

2021 JUN · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** reason why businesses fail. Answer	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for a reason why businesses fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Businesses fail because of cash flow problems **(1)** this may be that the business has a greater outflow than inflow **(1)** leading to potential problems paying employees/suppliers **(1)** NB Answers that list three reasons why a business fails with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** reason why a business would use batch production. Answer	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason for using batch production, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • A business with a wide range of products may need to produce them in smaller numbers **(1).** They can change the product easily, for example colour/size **(1)** without incurring too much cost **(1)** NB Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Promotion methods: above and below the line

Answer 14 of 22 · Question 2 part f · 9 marks

2021 JUN · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** reason why employees keep their curriculum vitae (CV) up to date. Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of a reason why employees keep their curriculum vitae (CV) up to date, plus 2 further marks for explaining why having an up to date curriculum vitae is beneficial to an employee, for a maximum of 3 marks. • It means that an employee can apply for a job straight away **(1)** without having to spend time updating a CV **(1)** which avoids missing out on job opportunities **(1)** NB Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 14 of 22 · Question 2 part f · 9 marks

2021 JUN · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	**Option 1:** targeted advertising online **Option 2:** e-newsletters. **(f)** Justify which **one** of these two options *NEXT* should choose. Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using targeted online advertising *NEXT* are only sending information to those customers who have purchased furniture or have signed up to its website • **Option 2** – E-newsletters are a cost effective way of sending information to customers, if they are interested in the wedding list service, it could include text, illustration and special offers **AO3** • **Option 1** – *NEXT* could test whether the people it is targeting are buying the furniture being advertised • **Option 2** – The only expense *NEXT* has is the setting up of the newsletter, and then this can be distributed with no further expense to all its customers **AO4** • **Option 1** – However, targeted online advertising does not reach all the customers of *NEXT* who might wish to purchase furniture • **Option 2** – However, *NEXT* cannot be certain that all its customers who want to receive the wedding list service will read the newsletter as there is no guarantee or way of checking that they have seen it	**(9)**

Type MS · Promotion methods: above and below the line

Answer 14 of 22 · Question 2 part f · 9 marks

2021 JUN · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7-9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Promotion methods: above and below the line

Answer 14 of 22 · Question 2 part f · 9 marks

2021 JUN · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Define the term **economies of scale**. Answer	Mark

Type MS · Promotion methods: above and below the line

Answer 15 of 22 · Question 2 part f · 9 marks

2021 NOV · Paper 01 · extract 1 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason why *Artify Studio* would want to offer a high-quality service in the context of the business. • To encourage customers to come back and try other art sessions on offer **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid advantage of using part-time employees in the context of the business. • It allows for flexibility when the studio is quiet and courses are not full **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business of being a partnership, plus 2 further marks for explaining this benefit for a business, for a maximum of 3 marks. • The business gains investment from each partner **(1)** increasing the capital available to the partnership **(1)** which can help the business to expand **(1).** **NB** Answers that list three benefits of being a partnership with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

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Type MS · Promotion methods: above and below the line

Answer 15 of 22 · Question 2 part f · 9 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a way social media can be used by a business, plus 2 further marks for explaining this way, for a maximum of 3 marks. • Creating a targeted advertising campaign **(1)** where the business can send a specific advert to a targeted group **(1)** who may be interested in the product or service **(1)**. **NB** Answers that list three ways of using social media with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a business benefit that comes from introducing TQM, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • One benefit is improved product quality **(1).** This is because everyone is working as a team **(1)** and so fewer mistakes are likely to be made **(1).** **NB** Answers that list three benefits of using TQM with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

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Type MS · Promotion methods: above and below the line

Answer 15 of 22 · Question 2 part f · 9 marks

2021 NOV · Paper 01 · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – this would increase the awareness of *Artify Studio* to those in the Kampong Glam area. • Option 2 –this can allow a business to become known to a wider market of artists. **AO3** • Option 1 – They could use this as an opportunity to advertise the different services they offer to local artists. • Option 2 – They can approach artists from all over the country to find out what the needs of those artists are and consider what they can do to meet those needs. **AO4** • Option 1 – However, sponsorship can cost the business a lot depending on the size of the art show and this could be a cost that the business cannot afford. • Option 2 – However, it would mean taking time out of the business and it may not bring in new customers or improve its image if the exhibition was poorly attended.	**(9)**

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Type MS · Promotion methods: above and below the line

Answer 15 of 22 · Question 2 part f · 9 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Promotion methods: above and below the line

Answer 15 of 22 · Question 2 part f · 9 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark

Type MS · Promotion methods: above and below the line

Answer 16 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 7 · find part f in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid fringe benefit *Aude Rose* could offer its employees in the context of the business. • It could offer its employees training for a qualification as a florist **(1)** **NB** Do not accept a fringe benefit that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

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Type MS · Promotion methods: above and below the line

Answer 16 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 7 · find part f in this mark scheme extract

Question Number	State **one** reason why branding is important to *Aude Rose*. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why branding is important to *Aude Rose* in the context of the business. • It makes the business stand out against other flower shops in Paris **(1)** **NB** Do not accept a reason that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

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Type MS · Promotion methods: above and below the line

Answer 16 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** impact of ineffective communication on a business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of an impact of ineffective communication on a business, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • More mistakes could be made **(1)** as employees will not know what they are doing **(1)** leading to low customer satisfaction **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** advantage of a partnership. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of an advantage of a partnership, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • Different partners may have different skills **(1)** and be able to offer a wider range of services **(1)** which could lead to increased business **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

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Type MS · Promotion methods: above and below the line

Answer 16 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** disadvantage to a business of product orientation. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a disadvantage to a business of product orientation, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks. • Product may not suit the needs of the customer **(1)** so potential customers may go elsewhere **(1)** resulting in the business losing sales **(1)** **NB** Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

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Type MS · Promotion methods: above and below the line

Answer 16 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 7 · find part f in this mark scheme extract

Question Number	*Aude Rose* is considering two options. **Option 1**: sponsor a local event such as a flower show **Option 2**: advertise, using leaflets around Paris. Justify which **one** of these two options *Aude Rose* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – The event will increase the awareness of her flower shop • **Option 2** – Leaflets can be handed out to passing tourists to draw them to the flower shop **AO3** • **Option 1** – If the flower show is a success, potential customers will have a positive opinion of *Aude Rose* • **Option 2** – The leaflet can include more information such as shop opening hours and the range of flowers being sold **AO4** • **Option 1** – However, these events can be expensive to sponsor so whilst sales may increase there is no guarantee profits will increase • **Option 2** – However, this would mean that someone would have to take time out of the shop to hand out the leaflets or increase costs by paying someone to hand them out	**(9)**

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Type MS · Promotion methods: above and below the line

Answer 16 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 01 (regional R) · extract 6 of 7 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Promotion methods: above and below the line

Answer 16 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 01 (regional R) · extract 7 of 7 · find part f in this mark scheme extract

Question Number	Define the term **variable costs.** Answer	Mark

Type MS · Promotion methods: above and below the line

Answer 17 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 02 · extract 1 of 7 · find part f in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason of *IKEA* would employ temporary staff in the context of the business. • At a busy time of the year when a furniture sale is happening requiring more sales assistants **(1)** • If a delivery driver has a long-term illness, then a temporary driver would be required to take over the delivery of flat packed tables and chairs **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** financial objective *IKEA* might have. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a financial objective in the context of the business. • *IKEA* wants to increase its market share in the sale of furniture **(1)** • *IKEA* wants to survive in the competitive market of selling home goods **(1)** **NB** Do not accept a financial objective that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Type MS · Promotion methods: above and below the line

Answer 17 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 02 · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why cash flow forecasting is important to a business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for why cash flow forecasting is important to a business plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By using a cash flow forecast businesses can plan for the future **(1)** by estimating the amount of revenue coming in **(1)** and also the amount going out of the business **(1)** • By using a cash flow forecast a business can identify periods where there may be insufficient funds **(1)** to carry out the work required **(1)** so they can plan for that situation and make adjustments to enable survival **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why cash flow forecasting is important to a business, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 17 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 02 · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why diseconomies of scale may occur. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why diseconomies of scale may occur, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • The business may become too large **(1)** which then demotivates employees **(1)** resulting in falling productivity levels **(1)** • The business relies more on bureaucracy **(1)** meaning that more time is spent in administration **(1)** resulting in decision making being slower **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why diseconomies of scale may occur, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 17 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 02 · extract 4 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why businesses continually design new products. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why businesses continually design new products plus 2 further marks for explaining why, for a maximum of 3 marks. • By designing new products, it keeps existing customer interested **(1)** this may mean that they will visit a store to see and purchase the new goods **(1)** increasing profit for the business **(1)** • Fashions constantly change **(1)** and if a business does not introduce new products **(1)** they may find that demand for their products decreases **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why businesses design new products with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 17 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 02 · extract 5 of 7 · find part f in this mark scheme extract

Question Number	**Option 1**: above the line promotion **Option 2:** below the line promotion. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Using social media to advertise its wide range of chairs, may reach out to a worldwide audience • **Option 2** – By using coupons with a discount of 10% off purchasing any bedroom furniture **AO3** • **Option 1** – Social media advertising can target certain age groups and people, encouraging them to visit the stores • **Option 2** – Whilst visiting the store to use their discount vouchers they are more likely to see other goods such as lights to go in the bedroom and purchase them at the same time **AO4** • **Option 1** – However, not everybody uses social media so many people would not be aware of the advert to purchase furniture • **Option 2** – However, there is no guarantee that customers are going to use the coupon or even visit the store, so the advertising costs would be wasted	**(9)**

Type MS · Promotion methods: above and below the line

Answer 17 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 02 · extract 6 of 7 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Promotion methods: above and below the line

Answer 17 of 22 · Question 2 part f · 9 marks

2023 JUN · Paper 02 · extract 7 of 7 · find part f in this mark scheme extract

Question Number	Define the term **overdraft.** **Answer**	Mark

Type MS · Promotion methods: above and below the line

Answer 18 of 22 · Question 2 part f · 9 marks

2023 NOV · Paper 02 · extract 1 of 7 · find part f in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for one task that the human resources would carry out at *Kraft Heinz* when recruiting an employee in the context of the business. • Human resources would carry out interviews to recruit a Graphic Designer for the new baked beans advertisement **(1)** • It would look after the welfare of employees working in the tomato sauce factory **(1)** **NB** Do not accept a reason that is not in the context of *Kraft Heinz.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** financial objective *Kraft Heinz* might have. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a financial objective *Kraft Heinz* might have in the context of the business. • *Kraft Heinz* might want to increase its profit by increasing the number of different sauces they sell **(1)** • *Kraft Heinz* may want to increase its market share by introducing new products such as cool whip to New Zealand **(1)** **NB** Do not accept a financial objective that is not in the context of *Kraft Heinz* **Accept any other appropriate response.**	**(1)**

Type MS · Promotion methods: above and below the line

Answer 18 of 22 · Question 2 part f · 9 marks

2023 NOV · Paper 02 · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why some businesses use crowdfunding as a source of finance. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for a reason why some businesses use crowdfunding as a source of finance plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Using crowdfunding can be a fast way to raise finance **(1)** from many investors **(1)** who may do this for the success of the business **(1)** • Crowdfunding is organised online **(1)** and can come from anywhere in the world **(1)** giving access to a wide number of investors **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why some businesses use crowdfunding as a source of finance, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 18 of 22 · Question 2 part f · 9 marks

2023 NOV · Paper 02 · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** disadvantage to a business of using retained profits to purchase goods and services. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a disadvantage to a business of using retained profit to purchase goods and services, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Using retained profit reduces the amount of funds available for the business to use. **(1)** If there is an emergency where funds are needed such as a machine breaking down **(1)** the business may not have the funds to get it repaired **(1)** • By using its retained profit to purchase new machinery **(1)** the business may not have the funds **(1)** to pay the rent or wages of employees **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages to a business of using retained profits to purchase goods and services, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 18 of 22 · Question 2 part f · 9 marks

2023 NOV · Paper 02 · extract 4 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why the quality of goods manufactured by a business is important to its success. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why the quality of goods manufactured by a business is important to its success plus 2 further marks for explaining why, for a maximum of 3 marks. • Manufacturing quality goods can lead to a good reputation for the business **(1)** thus encouraging more people to purchase the goods **(1)** which increases the sales for the business **(1)** • Increased competition from other businesses is why quality is important **(1)** the higher the quality of goods can increase customer purchases **(1)** which will then increases the profits of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why the quality of goods manufactured by a business is important to its success with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 18 of 22 · Question 2 part f · 9 marks

2023 NOV · Paper 02 · extract 5 of 7 · find part f in this mark scheme extract

Question Number	*Kraft Heinz* constantly aims to promote its products to encourage people to increase sales. To do this *Kraft Heinz* is considering using the following techniques. **Option 1**: sponsorship of a local charity **Option 2:** increasing the number of special offers. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By sponsoring a local charity such as Animal Rescue gains *Kraft Heinz* publicity and involvement in the local community • **Option 2** – By increasing the special offers for its sauces it may encourage more people to purchase its products **AO3** • **Option 1** – Customers seeing notices of the charity event may then want to support *Kraft Heinz* • **Option 2** – This improves its sales and keeps *Kraft Heinz* ahead of its competitors **AO4** • **Option 1** – However, there is no guarantee that because an event has been sponsored by *Kraft Heinz* people will purchase its products • **Option 2** – However, special offers may help increase sales but they can cost *Kraft Heinz* additional costs which might not be recovered	**(9)**

Type MS · Promotion methods: above and below the line

Answer 18 of 22 · Question 2 part f · 9 marks

2023 NOV · Paper 02 · extract 6 of 7 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Promotion methods: above and below the line

Answer 18 of 22 · Question 2 part f · 9 marks

2023 NOV · Paper 02 · extract 7 of 7 · find part f in this mark scheme extract

Question Number	Define the term **public limited company.** **Answer**	Mark

Type MS · Promotion methods: above and below the line

Answer 19 of 22 · Question 2 part f · 9 marks

2024 JUN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid advantage for *PPS* of customer loyalty • Customers will be more likely to try the overnight accommodation for their pets if they have been pleased with the pet grooming service **(1)** **NB** Do not accept an advantage that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *PPS* motivates its employees. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *PPS* motivates its employees • As the employees are motivated in what they are doing the dogs staying overnight will receive good care **(1)** **NB** Do not accept a reason that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Type MS · Promotion methods: above and below the line

Answer 19 of 22 · Question 2 part f · 9 marks

2024 JUN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** impact on a business of ineffective communication. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of an impact to a business of ineffective communication, plus 2 further marks for explaining this impact, for a maximum of 3 marks. • This can create misunderstanding between owners and employees **(1)** as employees may not be clear of what they are supposed to be doing **(1)** and this could lead to errors being made **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** advantage to a business of having a decentralised organisation. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for an advantage to a business of having a decentralised organisation, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • The business can react to changes quicker **(1)** because they do not need to run decisions through many layers **(1)** leading to decisions being made that meet the needs of local customers **(1)** **NB** Answers that list three advantage with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Promotion methods: above and below the line

Answer 19 of 22 · Question 2 part f · 9 marks

2024 JUN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** benefit to a business of using seasonal employees. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a benefit of using seasonal employees, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • This gives the business flexibility with its workforce **(1)** by having more employees at busier times **(1)** allowing them to meet the demands of customers at certain times of the year **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Promotion methods: above and below the line

Answer 19 of 22 · Question 2 part f · 9 marks

2024 JUN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	*PPS* is looking to improve its revenue and is considering two options. Option 1: trial a new brand of dog food in the shop Option 2: sponsor a local dog show. Justify which one of these two options *PPS* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – trialling a new brand of dog food will appeal to dog owners who regularly purchase dog food from *PPS* • **Option 2** – sponsoring a local dog show will promote *PPS*'s products such as dog collars **AO3** • **Option 1** – This method can bring in more revenue as it is a product they are known for selling and if customers like it then they will buy more of that dog food • **Option 2** – This may draw customers into the shop and could lead to an increase in revenue **AO4** • **Option 1** – However, if customers are used to buying a particular dog food brand they may not want to try a new brand • **Option 2** – However, it does cost to sponsor an event so *PPS* would need to incur cost upfront before they gain an increase in revenue from this method	**(9)**

Type MS · Promotion methods: above and below the line

Answer 19 of 22 · Question 2 part f · 9 marks

2024 JUN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Promotion methods: above and below the line

Answer 19 of 22 · Question 2 part f · 9 marks

2024 JUN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Define the term **diseconomies of scale.** **Answer**	Mark

Type MS · Promotion methods: above and below the line

Answer 20 of 22 · Question 3 part e · 9 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **just-in-time (JIT)**. • Produces goods/receives inventory when needed reducing the need to hold inventory	**(1)**

Q. No.	Outline **one** reason why *Rabanne* uses different methods to advertise job vacancies. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *Rabanne* uses different methods to advertise job vacancies plus 1 further mark for linking it to the context of the business. • *Rabanne* could advertise to a larger audience **(1)** giving them access to a wider pool of skills designers/dress makers **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. **Accept any other appropriate response.**	**(2)**

Q. No.	Calculate to **two** decimal places, the percentage decrease in current assets. You are advised to show your workings. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**A02 - 2 marks** = 30.20 **(2)** **OR** 5 952 – 8 527 = -2 575 **(1)** -2 527/8 527 x 100 **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Promotion methods: above and below the line

Answer 20 of 22 · Question 3 part e · 9 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Q. No.	Analyse the importance for *Rabanne* of using its resources effectively. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By *Rabanne* using its resources effectively by not wasting packaging material for its handbags/accessories • By *Rabanna* developing higher quality packaging for its fragrances/perfumes **AO3** • It not only saves them money but also makes them more environmentally friendly • Would reduce the number of damaged bottles of fragrances that need to be replaced , thus reducing costs	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Promotion methods: above and below the line

Answer 20 of 22 · Question 3 part e · 9 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Q. No.	**Option 1:** increasing the number of product trials **Option 2:** increasing advertising. Justify which **one** of these two options *Rabanne* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *Rabanne* introduces a variety of aftershaves for men to test and state their opinions • **Option 2** – Increasing the advertising of a new perfume for women means it could reach a much wider customer base throughout the world **AO3** • **Option 1** – Amendments can be made to the product before going into full production • **Option 2** – This could encourage more women to buy the perfume **AO4** • **Option 1** – However, because product trials are based in a limited location, the results may not be representative of all locations in all countries • **Option 2** – However, if they cannot find the perfume in a shop, then they will not be able to purchase it	**(9)**

Type MS · Promotion methods: above and below the line

Answer 20 of 22 · Question 3 part e · 9 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Promotion methods: above and below the line

Answer 20 of 22 · Question 3 part e · 9 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the commission a sales assistant would earn if they have sold goods valued at £850. You are advised to show your workings. **Answer**	**Additional Guidance**	**Mark**

Type MS · Promotion methods: above and below the line

Answer 21 of 22 · Question 2 part f · 9 marks

2025 NOV · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	**AO2 – 1 mark** Award 1 mark for a reason why *Samsung* may need long term finance. • To fund the research and development of new smartphones **(1)** • To build a new factory to manufacture laptops **(1)** **NB** Do not accept a reason that is not in the context of *Samsung*. Accept any appropriate response.	**(1)**

Q. No.	State **one** reason why quality control is a benefit to *Samsung* **Answer**	**Mark**
2 (b)	**AO2 – 1 mark** Award 1 mark for a valid reason why quality control is a benefit to *Samsung* • Poor quality laptops are likely to be detected before they are shipped to customers **(1)** **NB** Do not accept a reason that is not in the context of *Samsung*. Accept any appropriate response.	**(1)**

Type MS · Promotion methods: above and below the line

Answer 21 of 22 · Question 2 part f · 9 marks

2025 NOV · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

Q. No.	Explain **one** advantage to a business of having a social objective. **Answer**	Mark
2 (c)	**A01 – 3 marks** Award 1 mark for identification of an advantage to a business of having a social objective , plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • The business can gain a good reputation **(1)** from creating a positive impact on society **(1)** resulting in more potential customers **(1)** • The business may attract employees **(1)** who are interesting in environmental problems **(1)** leading to a wider pool of talent/skills in the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** limitation of a break-even chart. **Answer**	Mark
2 (d)	**A01 – 3 marks** Award 1 mark for identification of one limitation of a break-even chart plus 2 further marks for explaining the limitations, for a maximum of 3 marks. • Break-even is based on predictions **(1)** which may result in incorrect forecast **(1)** leading to wasted resources **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

12

Type MS · Promotion methods: above and below the line

Answer 21 of 22 · Question 2 part f · 9 marks

2025 NOV · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Q. No.	Explain **one** benefit to a business of being located within a trading bloc. **Answer**	Mark
2 (e)	**A01 – 3 marks** Award 1 mark for identification of one benefit to a business of being located within a trading bloc, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • There is the potential for a business to increase sales **(1)** because a trading bloc encourages trade between member countries **(1)** therefore a business has a wider pool of customers **(1)** • Costs of imported materials may decrease for the business **(1)** as tariffs are likely to be reduced or eliminated in the trading bloc **(1)** allowing the business to potentially increase its profits **(1)** **NB** No marks are awarded for a definition. Answers that list three effects with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

13

Type MS · Promotion methods: above and below the line

Answer 21 of 22 · Question 2 part f · 9 marks

2025 NOV · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Q. No.	**Option 1:** Sponsor celebrities to use its products **Option 2:** Provide a free game app to customers when they purchase a product Justify which one of these two options *Samsung* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *Samsung* could pay fees to a celebrity for using its smartphones as a way of getting publicity for its products • **Option 2** – free game applications may encourage young people to buy a *Samsung* smartphone rather than one from *Apple* **AO3** • **Option 1** – People are influenced by celebrities and if they see their idols using the smartphone they may be encouraged to buy the same one • **Option 2** – Some consumers may perceive the free apps as an attractive special offer which may persuade them to choose the *Samsung* smartphone rather than any other alternative **AO4** • **Option 1** – However, if the person chosen by *Samsung* to advertise its products is involved in a scandal this may ruin the reputation of *Samsung* and lead to a decrease in demand • **Option 2** – However, some people will be more concerned with other features/apps on a smartphone and may not be attracted to the special offer of free games	**(9)**

14

Type MS · Promotion methods: above and below the line

Answer 21 of 22 · Question 2 part f · 9 marks

2025 NOV · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

15

Type MS · Promotion methods: above and below the line

Answer 21 of 22 · Question 2 part f · 9 marks

2025 NOV · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Q. No.	Define the term **exporter.** **Answer**	Mark

Type MS · Promotion methods: above and below the line

Answer 22 of 22 · Question 4 part c · 12 marks

2023 NOV · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

4 (a)	**AO2 - 2 marks** 1 984/6 554 x 100 **(1)** = 30.27 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the benefits to countries where *Kraft Heinz* is located. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • A country benefits from a *Kraft Heinz* factory as it provides employment on baked beans production lines • A country benefits from increased tax revenue generated by the employees at the factories and corporation tax from *Kraft Heinz* **AO3** • Skilled employees do not have to leave their homeland to gain a job with prospects and therefore reducing the migration of skilled workers • This also provides the country with funds to pay for public services and infrastructure	**(6)**

Type MS · Promotion methods: above and below the line

Answer 22 of 22 · Question 4 part c · 12 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Promotion methods: above and below the line

Answer 22 of 22 · Question 4 part c · 12 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Evaluate the importance to *Kraft Heinz* of using a variety of different methods to advertise to its target customers. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • By using a variety of different methods such as television advertisement, attracts a variety of different people • *Kraft Heinz* could use posters or billboards to advertise its products **AO2** • The Ed Sheeran advertisement will attract a younger person who is keen on his music and would therefore want to try the tomato sauce • A poster advertising a new variety of baked beans could be displayed in towns and cities **AO3** • They will have been encouraged to try it because someone famous has used it and they would want to follow • A poster is good for a short sharp message which will be seen repeatedly by people as they pass by **AO4** • However, there is no guarantee that sales are going to increase just because a pop star has been in an advertisement • However, posters can get damaged and it is difficult to evaluate their effectiveness	**(12)**

Type MS · Promotion methods: above and below the line

Answer 22 of 22 · Question 4 part c · 12 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Promotion methods: above and below the line

Answer 22 of 22 · Question 4 part c · 12 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Promotion methods: above and below the line

Answer 22 of 22 · Question 4 part c · 12 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

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